

THE CHALLENGES IN FUNDRAISING

So previously, we discussed the good parts. Let us now discuss what you also get with fundraising.

01 Investor Pressures

You might feel under pressure from the investor to do something you don't like. You two might, for instance, disagree on the direction the business should go in the future. There may be pressures regarding performance as well if the company under performs. Therefore, you must carefully choose the investors.



←
founder's will

→
investor's will

02 Competing Incentives

In most cases, the interest is aligned pretty well. But in some scenarios, the founder's and investor's interests may get misaligned.

For instance, if the investors are larger institutions, they must show exits by selling their holdings at a profit after a specific period of time. As a founder, however, you might not think in a time bound manner and think long term. At this point, the founders and investors have g interests which may n decision making as well. ks